

and a checking account.

It's one thing to prefer stocks to a stodgy savings account that yields 5 percent forever, and quite another to prefer them to a money-market that offers the best short-term rates, and where the yields rise right away if the prevailing interest rates go higher.

If your money has stayed in a money-market fund since 1978, you certainly have no reason to feel embarrassed about it. You've missed a couple of major stock market declines. The worst you've ever collected is 6 percent interest, and you've never lost a penny of your principal. The year that short-term interest rates rose to 17 percent (1981) and the stock market dropped 5 percent, you made a 22 percent relative gain by staying in cash.

During the stock market's incredible surge from Dow 1775 on September 29, 1986, to Dow 2722 on August 25, 1987, let's say you never bought a single stock, and you felt dumber and dumber for having missed this once-in-a-lifetime opportunity. After a while you wouldn't even tell your friends you had all your money in a money-market—admitting to shoplifting would have been less mortifying.

But the morning after the crash, with the Dow beaten back to 1738, you felt vindicated. You avoided the whole trauma of October 19. With stock prices so drastically reduced, the money-market actually had outperformed the stock market over the entire year—6.12 percent for the money-market to 5.25 percent for the S&P 500.

THE STOCKS REBUT

But two months later the stock market had rebounded, and once again stocks were outperforming both money-market funds and long-term bonds. Over the long haul they always do. Historically, investing in stocks is undeniably more profitable than investing in debt. In fact, since 1927, common stocks have recorded gains of 9.8 percent a year on average, as compared to 5 percent for corporate bonds, 4.4 percent for government bonds, and 3.4 percent for Treasury bills.

The long-term inflation rate, as measured by the Consumer Price Index, is 3 percent a year, which gives common stocks a real return of 6.8 percent a year. The real return on Treasury bills, known as the most conservative and sensible of all places to put money, has been nil. That's right. Zippo.

The advantage of a 9.8 percent return from stocks over a 5 percent return from bonds may sound piddling to some, but consider this financial fable. If at the end of 1927 a modern Rip Van Winkle had gone to sleep for 60 years on \$20,000 worth of corporate bonds, paying 5 percent compounded, he would